

AN INTERVIEW WITH RADIO SHACK'S PRESIDENT

REGARDING THE COMPANY'S GROWING MICROCOMPUTER BUSINESS

Fort Worth, TX -- "The image of leadership in electronics" had a lot to do with Radio Shack's original decision in 1976 to enter the microcomputer market, according to Lewis Kornfeld, president of the Radio Shack division of Tandy Corp. The Company's TRS-80 Model I system was introduced at a special press party in New York City on August 3, 1977, and its TRS-80 Model II system on May 30, 1979, also in New York.

"Too many people used to think of The Shack as a place where you can buy low-cost consumer electronics items made by others," Kornfeld said, "whereas the reverse is really true -- we manufacture nearly 40% of our goods in company-owned factories and most of our other equipment is designed by us and custom-made for us under contract. We take almost all the output of several of our most important outside sources.

The image Radio Shack now seeks to capitalize on and make known," he added, "is one of higher than average technology and innovation. That we are building both our TRS-80 Microcomputer Systems in three of our 17 Fort Worth, Texas factories surely lets the whole world know that our capability goes far beyond \$100 electronic telephone memory dialers and even \$600 all-digital hi-fi receivers which are, incidentally, also things we make ourselves."

Q. Why have you called the TRS-80 Model II "the most important product" ever made by your company?

A. Because again it's state-of-the-art technology, demonstrating Shack's surprising ability to do-it-ourself. And because it opens all sorts of horizons for related sophisticated products and spin-offs from microprocessor know-how. For another thing, TRS-80 products are leading us into new marketing fields and selling techniques.

Q. What are Radio Shack's intentions regarding TRS-80 Model I?

A. Model I is the original TRS-80 as you know; we have every intention to keep it on the market and to keep adding peripherals and software. It's the "building block" of the personal microcomputer industry, letting users into computerism at system prices below \$600 -- even lower, as we get down the learning curve and increase productivity. Model II systems start pretty close to the point where the most expensive Model I systems end. It would make no sense whatsoever to turn our backs on this business (Model I) which is, after all, only in its infancy.

Q. What about home computers?

A. We have repeatedly stated that TRS-80 Model I is not a home computer. Of course it can be used at home or anywhere else where there's AC current, that's what makes it such a breakthrough! The "home computer" is a fantasy the press is so eager to have become a happening, it has simply made up its own "facts" concerning TRS-80 Model I and similar equipments. When we choose to design a home computer we'll announce it loud and clear. The timing is 1980-ish. Obviously, TRS-80 Model II, being less transportable than Model I, is even less susceptible to being called a home computer.

Q. Who are the intended TRS-80 II users?

A. Probably we'll draw on a somewhat narrower base than Model I, zeroing in essentially on small business, small parts of large business, and professionals in every field including accounting, law, medicine, engineering, manufacturing and so on. Both models can be conveniently built up to accomodate more memory as the need develops, but Model II, in its "starter system" configuration, begins close to Model I's top power and goes on up.

Q. What other make computer would compare with TRS-80 Model II?

A. It may sound a trifle like hard sell, but our people assure me that an IBM 5110, configured with a single two-sided disk and a screen about 50% smaller than Model II's, sells for about \$13,800. A TRS-80 II, using two disks (one built in and a second included in our expansion unit) but of identical power, sells for exactly 1/3rd the price of the IBM. To put it more succinctly, you can buy three of ours to one of theirs. Does that mean Radio Shack and Tandy have thrown down the gauntlet to the big "mini" boys? My answer is: No. We've been working on Model II for two years and to us it was a natural development of our program, once we saw we had a winner in Model I. Our distribution patterns and techniques differ widely from those of IBM, H-P, etc.,

and our business is to sell as many as we can to any sort of consumer. Nevertheless, Model II is aimed squarely at the business sector, and confrontation with major computer brands is inevitable.

Q. Why did you retain the TRS-80 name for Model II?

A. Well, TRS-80 is certainly "the biggest name in little computers," as one of our trademarks states. We have over 100,000 TRS-80 Model I users, most of them tickled pink with their purchase; in fact our TRS-80 I sales in 20 months have equalled Radio Shack's entire year's sales for fiscal 1970, the first year Radio Shack broke the \$100-million sales mark. TRS-80 is the best-known model designation in the expandable system microcomputer business; now that we have a Model I and a Model II, it should become even better known.

Q. What is the delivery situation?

A. For most Model I systems, delivery is immediate; this still does not apply, however, to certain peripherals, particularly disk drives. Model II deliveries are expected to begin in July, 1979, but we do not expect to be able to send any to our stores until October, 1979 -- and then on the basis of one demo to each of our 140 USA districts. Orders will be filled on the basis of first-in first-out.

Q. How is it that Radio Shack can undersell most competitors?

A. I feel it's more a situation of out-producing than underselling; when you out-produce you should usually be able to produce more economically. Also we have distinct advantages in distributional cost. All so-called "office equipment" manufacturers (or their distributors) have extremely high selling costs. TRS-80 systems, on the other hand, have low selling cost because they are sold in stores or Computer Centers. When the customer comes to you, rather than the reverse, the cost to sell is always less. We also have certain other overhead advantages, particularly in the areas of direct distribution, credit collection, and amortization of R & D and tooling expenses. I suspect the TRS-80 family, particularly Model II, will cause a few high-priced computer companies to reassess their pricing policies, although their first attack could be to try to convince the rest of the world that we are lower in quality, an approach that would lack credibility even in the short run.

Q. What impact will TRS-80 Model II have on Model I?

A. I feel Model I will outsell Model II in terms of units owing to their wide discrepancy in price. Anyone desiring to use a computer will discover that Model I has many very practical applications for which Model II may simply be "too much computer." The added speed and computing power of Model II make it a perfect fit for business use when memory storage exceeding 500-million bytes is needed. But there are many, many places where this is not needed, and that's where Model I comes in. Model I is also considerably lower in cost and lighter in weight. There are many good analogies -- printing presses, typewriters, desktop calculators, fixed-lens cameras and vehicles -- for determining the proper choice between Model I and Model II. And there are many examples where too much capacity in an equipment or a building simply mean waste of energy, money and space. The Radio Shack computer line, in our best

judgment, offers an unequalled choice to the user, and each choice is expandable upward; this was our design consideration from the very beginning.

Q. What about computers using home TV sets as monitors?

A. For starters, any system that does not include a video monitor is not a complete system and involves unpleasant compromises. TRS-80 Model I uses a 12" TV monitor which we modify for computer use; contrary to general opinion, it's not "just a stripped TV set." One reason for doing this is to get better character resolution. A weakness in using home TVs (particularly color sets) as monitors is poorer resolution, clarity, definition and character count. Model II, of course, has a professional 12" monitor that had no TV heritage. Use of a home TV additionally causes clutter and on occasion will annoy TV viewers; additionally, its location is apt to be in the wrong room environment.

Q. What about color in general?

A. Radio Shack's TRS-80 systems were purposely designed without color adaptability even though color is more spectacular in demonstrations. They are primarily business machines. In that sense, color is perceived as a gimmick rather than as a need or benefit, and more suitable to TV games and the like. The same is true of TRS-80 styling, where the more severe grays, blacks, and silvers of the TRS-80 family seem to us (and the majority of critics) more appropriate than racing stripes, fancy designs, rainbow keys and modish nicknames. In summary, Radio Shack sees computers more as word-processors and data processors than as youth-oriented novelties. You will note that the construction of all TRS-80 computers is extremely rugged and practical; Radio Shack has not cut corners on cabinet construction material or tooling as it might have had to do if our production runs were short.

Q. A lot has been written about competition...any comments?

A. We live in a competitive world and surely the word has gotten around that TRS-80 has created a whole new business in the sense of bringing computer costs and reliability down to the level of small business, schools, hobbyists and beginning programmers. We do have a substantial lead in experience and know-how, however there are plenty of well-heeled potential competitors (and the usual coterie of loft operators) who have set TRS-80 up as their target for the 1980s. Radio Shack will have to continue to make friends and influence people with quality, distribution and service. We have the resources, talent and desire to do so, and no intention to play #2 to anybody! And we have something priceless that no conceivable competitor has: upwards of 5000 salespeople with close to two years of computer sales experience and some understanding of the problems, opportunities and technology of personal computers. That's more than just a head start... it's proven leadership over a "generation" of equipment which, in consumer electronics, just may establish the difference between their promises and our fulfillment.

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